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Top 5 Questions Heading Into 2H19

Retail stocks have beaten the S&P 500 by 400bps YTD. Fundamentals have won out, as sales and earnings growth on plan have let the fears of impending doom dissipate. Yet it hasn't been easy. Take Amazon out of retail and the stocks underperformed vs. the S&P (Figure 1). Into 2H, tariffs, Amazon next day shipping, and a decelerating U.S. consumer are the three most important factors likely to determine winners and losers. These swing factors are the key inputs to which companies can grow sales and earnings into 2020.

Multichannel leadership helped define the 1H winners, and remain important into 2020. After a mixed bag [1Q earnings season](#), one theme is holding true: Retailers ahead in [multichannel are winning](#), others are scrambling to catch up. Home Depot, Walmart, Costco and Target are gaining traffic and online share. It is no surprise each beat the market in 1H. Even Wayfair is investing in a specialized distribution network to get closer to their customers.

What are the key factors investors are debating as to whether the performance can keep up? It depends on the type of assets you manage, but five questions below come up in most of our discussions.

1. **What is the Amazon impact?** Our analysis shows Retail stocks do well when sales ex. AMZN grow 3%+... but Amazon is not slowing down (Figure 1). Our latest survey conclusions are found in the [Path to 10% Share in the Golden Age of Multichannel](#).
2. **Tariffs: What happens if 25% tariffs with China hold?** We calculate a 13% EPS impact (Figure 4). We believe Chinese import tariffs likely settle at ~10% vs. 25% on List 1-3 (List 4 is still exempt), in line with China's average import tariff.
3. **Is the Home Improvement cycle over?** HI spending per unit is above 40 year norms, yet sales have stagnated in early 2019. That said, our [Home Improvement Lead Indicator \(HILI\)](#) has recovered to 3.5% in May from November's trough of 1%. It looks more like the 6th inning than 8th to us. More inside.
4. **Defensives have been rerated, but is the Walmart multiple expansion a sign of platform prowess as well?** The concept of platform companies, using technology to expand returns could be aiding Walmart's rerating. HD could get a second look if as cycle fears abate. HD's dividend yield at 2.6%, is above both WMT's and the 10 year treasury yield for the first time since 2011.
5. **Will active management recover vs passive?** While not a "retail specific" question, the impact of the equity asset management shift from active to passive, plus MiFID II implications is a growing focal point. We found Glenn Schorr's [The Most Self Serving Research Note Ever?](#) very interesting. U.S. based funds have outperformed MiFID II European money managers in 13 of 15 categories.

Bottom line: Retail is up 400bp YTD vs the S&P, with 2H swing factors tariffs, Amazon, and the consumer. We like HD's risk reward given our recovering HILI, tariff risk, and multichannel leadership. Other favored HI names are SHW, LOW, and TSCO. AMZN and COST are well positioned for large cap growth on membership loyalty. SMID cap value investors could find BJ or AAP interesting. SMID cap growth should be attracted to FIVE or W.

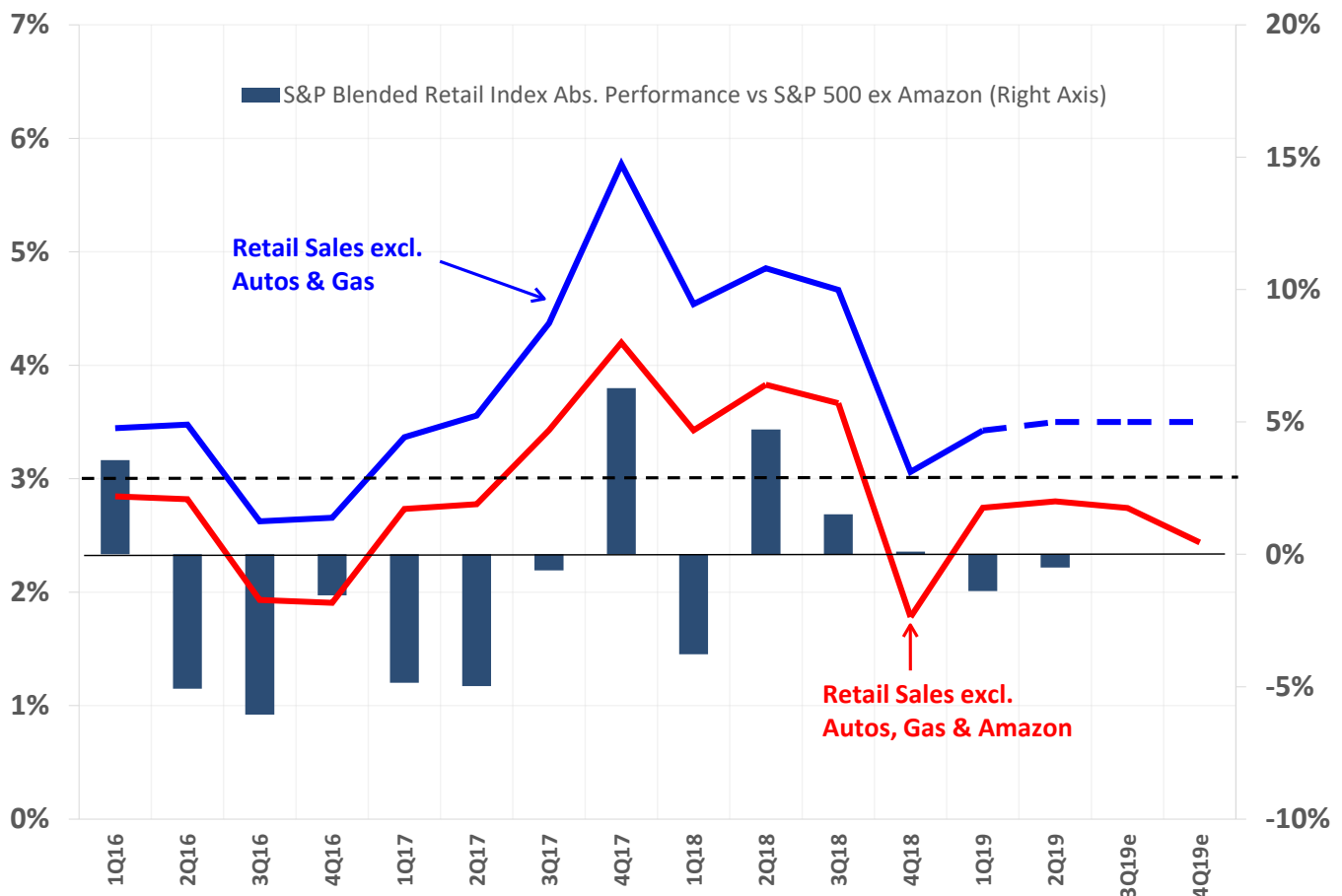
Question #1: Is Amazon done taking share? Our answer is no.

Amazon is up to 6% U.S. retail GMV share, and approximately 40% of eCommerce. Is the share gain over now Prime membership is slowing to MSD growth? We believe the answer is no, as Amazon appears committed to reinvest a chunk of their margin explosion from advertising and 3P into service.

Our latest survey (see note: "[Amazon: The Path to 10% Share in the Golden Age of Multichannel](#)") of 2,500 U.S. HHs suggests the growth in Prime HHs is now below 10%. The good news for Amazon: to keep sales growth near 20%, Amazon so far is successfully seasoning spend per member at an upper teens pace, expected to reach \$2,500 this year. The decision to reinvest 3P and advertising profits in 1-day delivery is consistent with efforts to push spend/member past \$4,000.

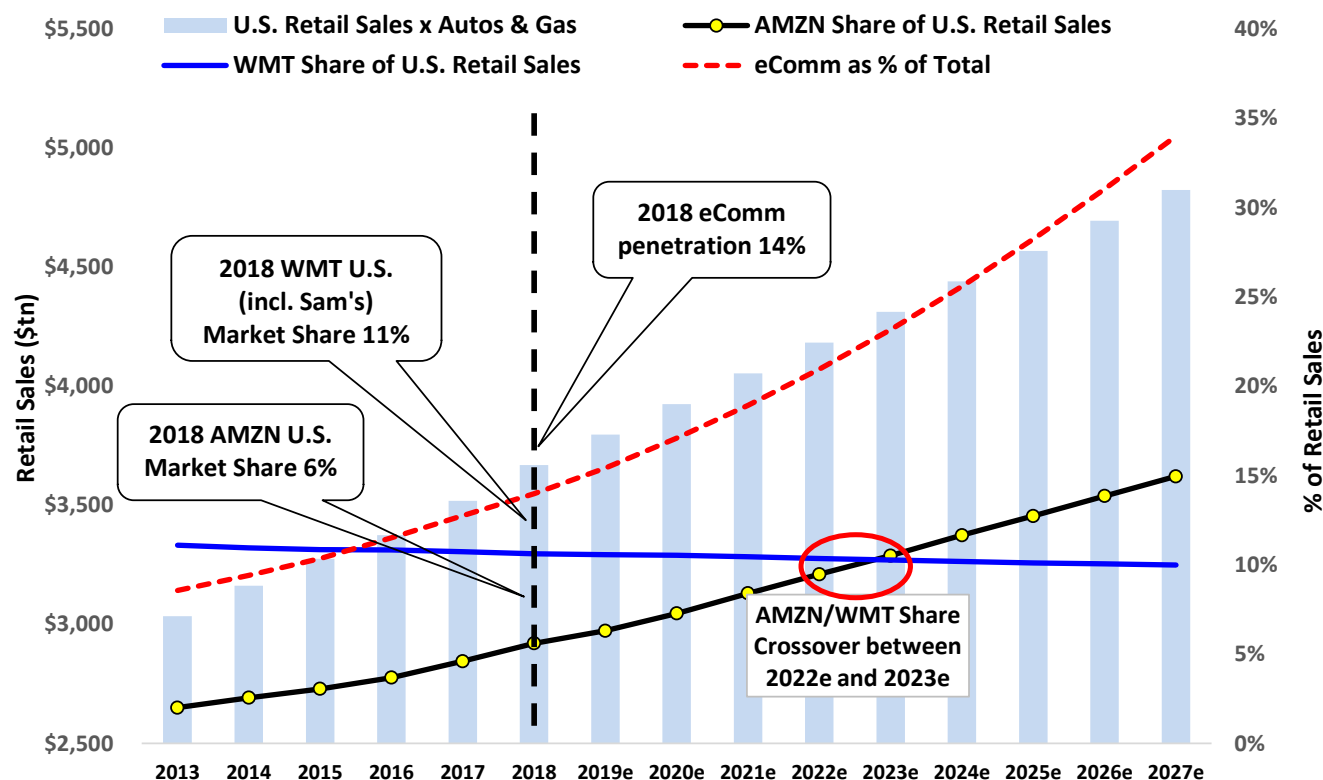
This is a stark reminder to the rest of retail that Amazon is not going away. We see them on pace to approach Walmart's 10% U.S. retail market share around 2022 (figure 2). It's not just retailers that need to monitor this shift. Investors are paying attention. Retail stocks have done well since 2016 if Retail sales ex Amazon stayed near or above 3% (figure 1). [We trimmed our 2H retail sales ex autos & gas forecast](#) to 3.5% from 4% in June, which implies retail growth ex-Amaon near 2.7% in 2H 2019. Since 2016, we have found that periods in which Retail Sales ex Amazon grow less than 3% (consistent with leveraging cost, and overall sales near 4%) typically see Retail ex-Amaon underperform the S&P500. Looked at another way, the impressive outperformance of retail stocks in late 2017 and early 2018 was greatly aided by the strong macro environment which meant sales ex-Amaon grew over 3.5%.

Figure 1: Retail Has Done Well in the Past if Retail Sales ex Amazon Stay at or Above 3%



Source: Company Data, Fact Set, Evercore ISI Research

Figure 2: Amazon is on Pace to Approach Walmart's 10% U.S. Retail Market Share Around 2022

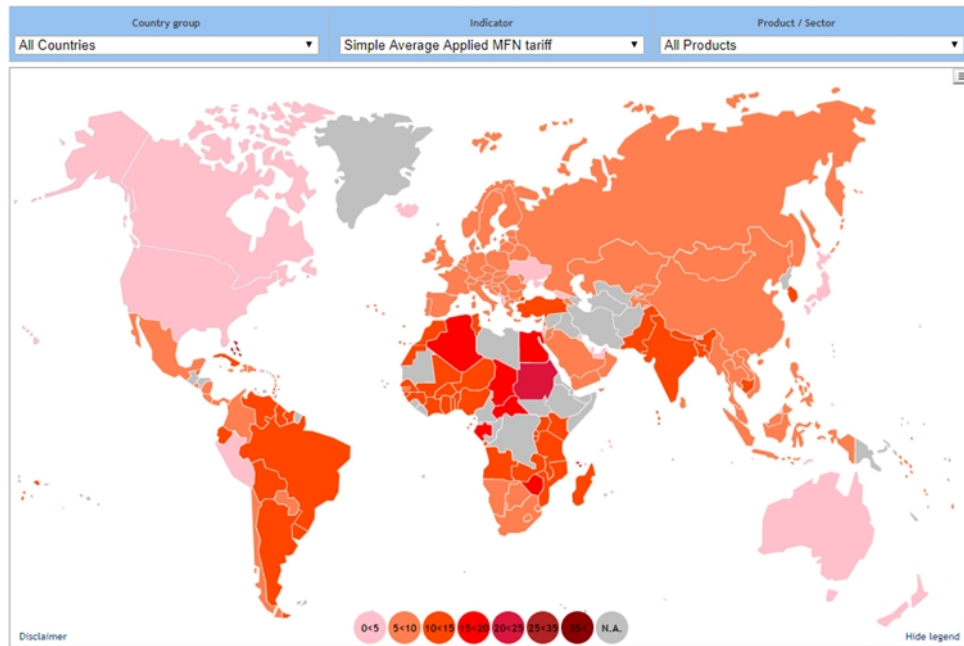


Source: Company Data, Census Bureau, Evercore ISI Research

Question #2: What's the impact of tariffs with China? 25% could be a 13% EPS headwind.

Chinese tariffs are a hot button topic that's likely to remain a potential earnings risk into 2020. Our view is that Chinese import tariffs will likely settle out around 10% across List 1-4 goods, or somewhere between the 25% now in place on List 1-3 (List 4 is still exempt) and the 10% average tariff that China placed on import in 2017 (according to the WTO). We believe retailer mitigation will be more challenging with list 4 – as it features more electronics, toys, and apparel, vs. Lists 1-3 that were more focused on industrial application goods, and niche pockets of retail demand like auto parts. Part of the challenge with list 4 is that it has relatively few alternative sourcing options. All eyes now on which items make the next Section 301 list, and what the rate could be. Using Walmart as a proxy, we see the inflation potential rising from just 20bps on the current list at 10% to over 200bps if tariffs go to 25% on all Chinese imports – see Figure 1 from our [note](#) from 5/17 for more. That will be harder to mitigate through new sourcing areas and productivity. At 25% on all Chinese imports, we see 13% earnings risk into 2020 for our typical company assuming 75% of the pressure is mitigated (figure 3). Home Improvement and Auto Parts screen as lower risk on tariffs, both as a % of COGS incrementally exposed and their pricing power/ mitigation potential.

Figure 3: 2017 Tariffs by Country: China at 9.8% vs U.S. at 3.4%



Source: WTO, Evercore ISI Research

Figure 4: Tariff Exposure Analysis: 25% Tariffs, 75% Mitigation = ~13% EPS Hit

	Sales	Pricing Power	Estimated 2019 Imports (%)						Estimated 2019 \$ Imports (\$bn)				Profit \$bn		EPS \$		EPS % Variance		
		Pricing Base Case Sales	Base Case	Global Imports		China			Global Total Imports	China							No Price	Base Case	Full Price
			Pricing Power/ Mitigation	% Imports Total	% FDI	% Indirect Imports	% FDI	% Total	\$	Indirect Imports \$	FDI \$	Total \$	Current EBIT 2019E	Post Tariff EBIT Run Rate	Current EPS 2019E	Post Tariff EPS Run Rate			
AMZN	\$ 278	75%	55%	20%	20%	10%	30%	\$ 46.5	\$ 16.9	\$ 8.5	\$ 25.4	\$ 19.85	\$ 18.80	\$ 28.74	\$ 27.56	-16%	-4%	0%	
COST	\$ 151	80%	30%	15%	8%	8%	15%	\$ 25.0	\$ 6.3	\$ 6.3	\$ 12.5	\$ 4.84	\$ 4.37	\$ 8.00	\$ 7.22	-49%	-10%	0%	
TGT	\$ 80	70%	45%	33%	7%	20%	27%	\$ 22.1	\$ 3.5	\$ 9.7	\$ 13.2	\$ 4.33	\$ 3.47	\$ 5.90	\$ 4.59	-74%	-22%	0%	
WMT	\$ 538	75%	35%	20%	9%	10%	19%	\$ 94.5	\$ 25.0	\$ 27.0	\$ 52.0	\$ 21.67	\$ 19.20	\$ 4.78	\$ 4.16	-52%	-13%	0%	
KR	\$ 125	60%	15%	5%	5%	2%	7%	\$ 13.0	\$ 3.9	\$ 2.0	\$ 5.9	\$ 2.90	\$ 2.51	\$ 2.20	\$ 1.82	-44%	-17%	0%	
DG	\$ 28	60%	25%	6%	12%	4%	15%	\$ 4.3	\$ 2.0	\$ 0.6	\$ 2.6	\$ 2.20	\$ 2.04	\$ 6.50	\$ 6.00	-19%	-8%	0%	
DLTR	\$ 24	55%	45%	30%	8%	21%	29%	\$ 6.6	\$ 1.2	\$ 3.1	\$ 4.3	\$ 1.79	\$ 1.37	\$ 5.25	\$ 3.90	-57%	-26%	0%	
FIVE	\$ 2	60%	80%	33%	43%	22%	65%	\$ 0.9	\$ 0.5	\$ 0.2	\$ 0.7	\$ 0.23	\$ 0.18	\$ 3.10	\$ 2.46	-52%	-21%	0%	
BJ	\$ 13	70%	13%	8%	2%	3%	5%	\$ 1.2	\$ 0.2	\$ 0.3	\$ 0.5	\$ 0.39	\$ 0.36	\$ 1.50	\$ 1.35	-34%	-10%	0%	
HD	\$ 113	90%	30%	6%	11%	4%	15%	\$ 17.8	\$ 6.6	\$ 2.3	\$ 8.9	\$ 15.95	\$ 15.81	\$ 10.15	\$ 10.05	-9%	-1%	0%	
LOW	\$ 73	90%	35%	9%	13%	5%	18%	\$ 13.4	\$ 4.8	\$ 1.9	\$ 6.7	\$ 6.34	\$ 6.23	\$ 5.50	\$ 5.40	-19%	-2%	0%	
SHW	\$ 18	90%	5%	5%	0%	3%	3%	\$ 0.4	\$ -	\$ 0.2	\$ 0.2	\$ 2.84	\$ 2.83	\$ 21.15	\$ 21.10	-2%	0%	0%	
W	\$ 9	70%	65%	10%	28%	5%	33%	\$ 3.7	\$ 1.5	\$ 0.3	\$ 1.8	\$ (0.71)	\$ (0.78)	\$ (5.53)	\$ (6.39)	-52%	-16%	0%	
TSCO	\$ 9	80%	20%	10%	7%	6%	13%	\$ 1.0	\$ 0.4	\$ 0.3	\$ 0.7	\$ 0.76	\$ 0.73	\$ 4.78	\$ 4.63	-16%	-3%	0%	
FND	\$ 2	80%	60%	55%	15%	30%	45%	\$ 0.7	\$ 0.2	\$ 0.3	\$ 0.5	\$ 0.15	\$ 0.13	\$ 1.05	\$ 0.89	-75%	-15%	0%	
LL	\$ 1	75%	60%	40%	10%	26%	36%	\$ 0.4	\$ 0.1	\$ 0.2	\$ 0.2	\$ 0.02	\$ 0.01	\$ 0.48	\$ 0.17	-261%	-65%	0%	
BBY	\$ 45	80%	80%	15%	35%	10%	45%	\$ 20.5	\$ 9.0	\$ 2.5	\$ 11.5	\$ 2.02	\$ 1.67	\$ 5.65	\$ 4.66	-88%	-18%	0%	
AAP	\$ 10	85%	70%	8%	9%	9%	18%	\$ 3.3	\$ 0.4	\$ 0.4	\$ 0.9	\$ 0.81	\$ 0.79	\$ 8.30	\$ 8.04	-20%	-3%	0%	
AZO	\$ 12	85%	66%	18%	40%	12%	52%	\$ 3.1	\$ 1.9	\$ 0.6	\$ 2.4	\$ 2.19	\$ 2.14	\$ 62.90	\$ 61.15	-19%	-3%	0%	
GPC	\$ 20	80%	35%	3%	8%	2%	10%	\$ 3.6	\$ 0.8	\$ 0.2	\$ 1.0	\$ 1.24	\$ 1.21	\$ 5.90	\$ 5.75	-13%	-3%	0%	
ORLY	\$ 10	85%	65%	5%	37%	3%	40%	\$ 2.8	\$ 1.6	\$ 0.1	\$ 1.7	\$ 1.95	\$ 1.91	\$ 17.75	\$ 17.42	-13%	-2%	0%	
BBBY	\$ 12	40%	55%	5%	28%	3%	30%	\$ 3.8	\$ 1.9	\$ 0.2	\$ 2.1	\$ 0.43	\$ 0.26	\$ 2.10	\$ 1.12	-78%	-47%	0%	
WSM	\$ 6	60%	55%	40%	6%	16%	22%	\$ 1.8	\$ 0.2	\$ 0.5	\$ 0.7	\$ 0.50	\$ 0.43	\$ 4.75	\$ 4.15	-32%	-13%	0%	
RH	\$ 3	60%	86%	60%	5%	25%	30%	\$ 1.2	\$ 0.1	\$ 0.4	\$ 0.4	\$ 0.33	\$ 0.29	\$ 8.45	\$ 7.38	-32%	-13%	0%	
QRTEA	\$ 14	70%	55%	20%	10%	10%	20%	\$ 4.5	\$ 0.8	\$ 0.8	\$ 1.6	\$ 1.29	\$ 1.20	\$ 1.70	\$ 1.49	-43%	-13%	0%	
Median		75%	55%	15%	13%	9%	22%									-34%	-13%	0%	
Total								\$ 296	\$ 90	\$ 69	\$ 158								

Source: Company Data, Evercore ISI Research

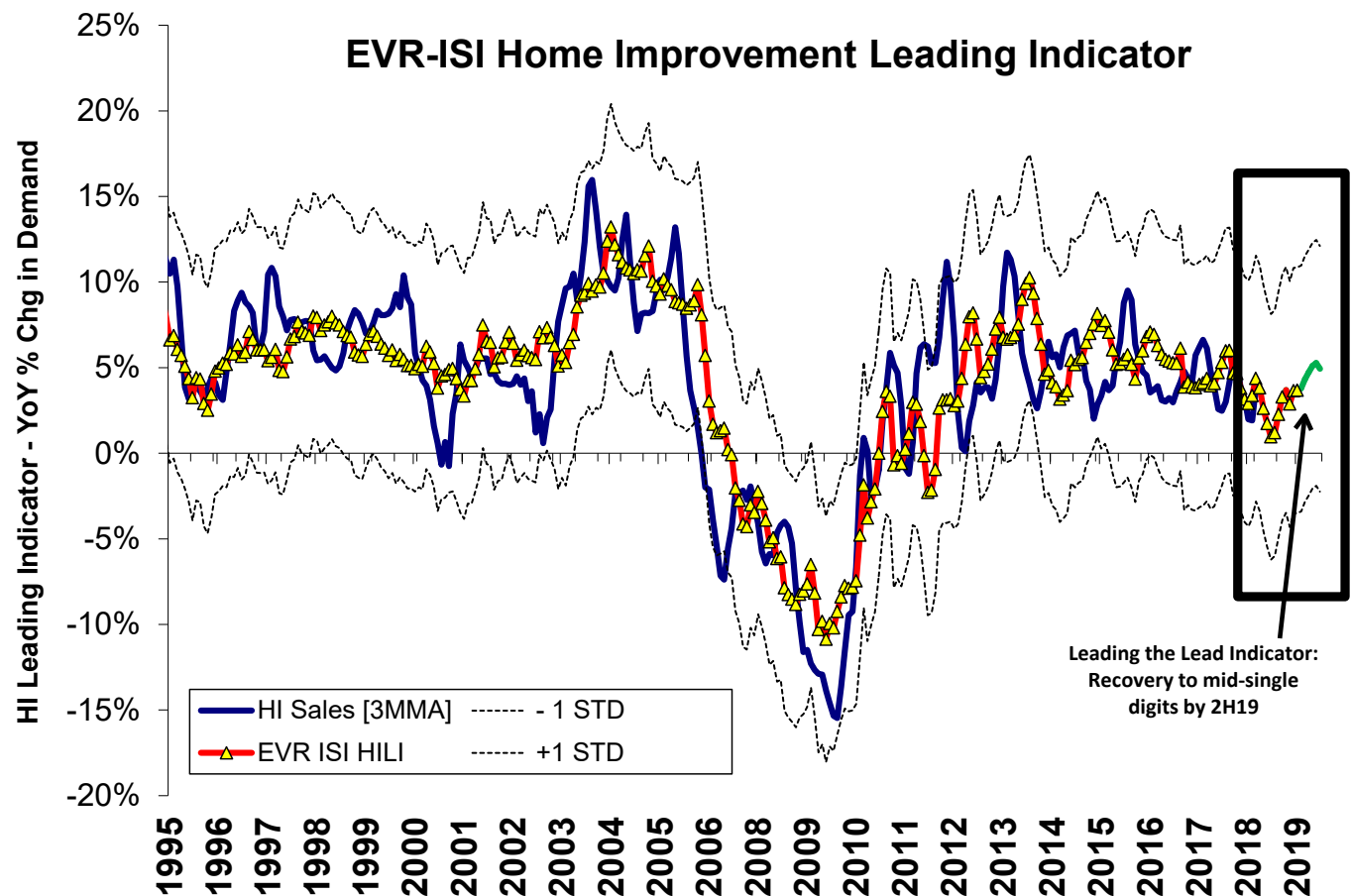
Question #3: Is the Home Improvement cycle really over?

Lackluster housing and home improvement numbers the past 18 months have begged the question; is the cycle over? We think not, as Home Improvement spending per occupied unit (figure 5) is just 5% above the almost 50 year average. If the cycle ended now, it would be the shortest time above trend (two years) and the lowest peak (below \$800/quarter) over the past 50 years.

Confidence in our “mid cycle pause” view is the turn in our Home Improvement Lead Indicator (HILI) since late 2018. Our HILI most recently reached 3.5% for the month of May (see note: [May Home Improvement Lead Indicator \(HILI\): On the Rise Again](#)), extending a positive trend from November 2018's trough. Our HILI is an econometric model that we use to project home improvement demand six months out. This supports our view that comps can improve 200bp into 2H2019. Looking into 2020, when we “lead indicate the lead indicator”, our HILI should reach 5% by year end. This assumes existing one-family homes hold above 4.5mn, mortgage rates stay below 4.5%, and home price growth of 3.5%.

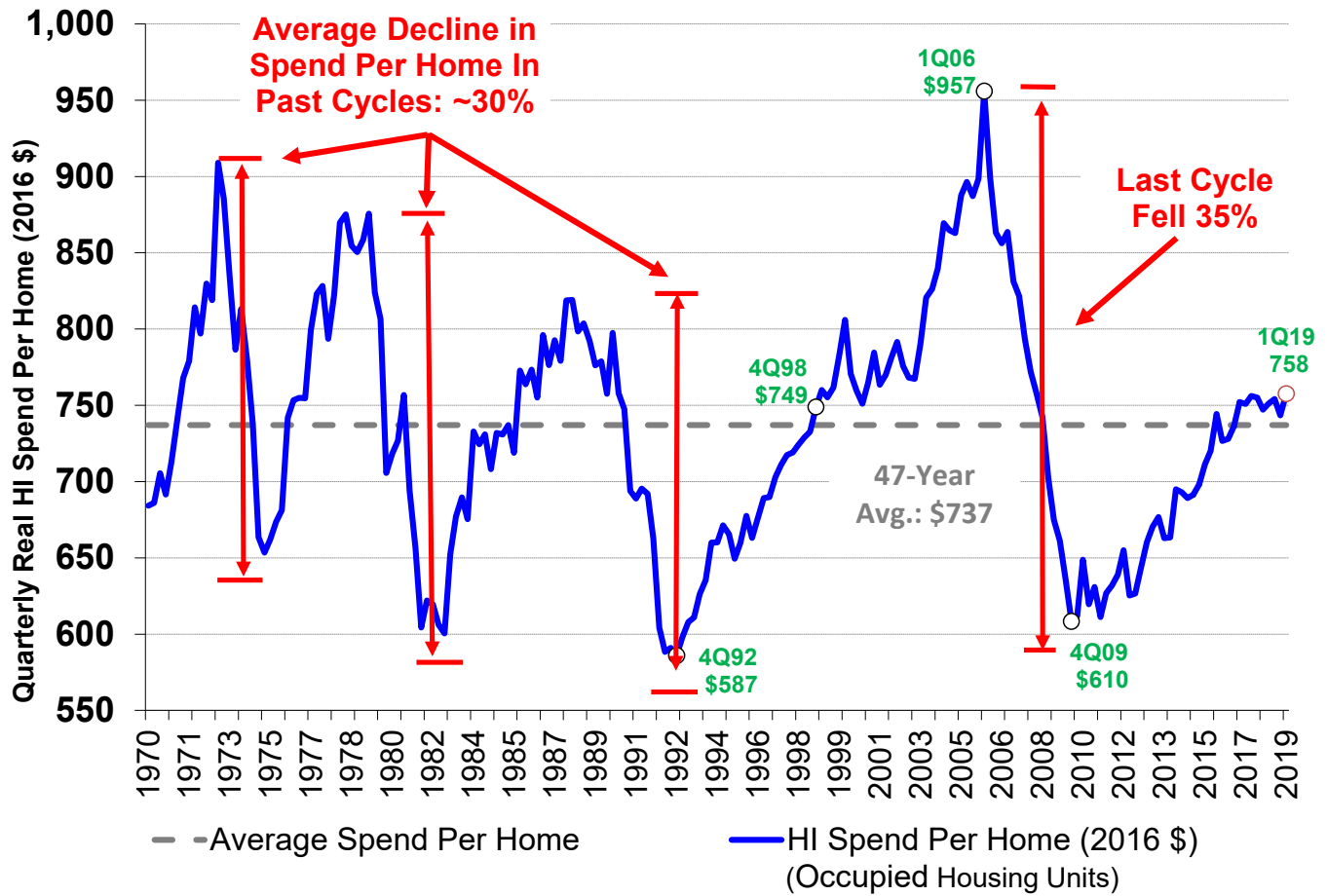
As the acceleration happens in 2H, we think the market will view the past few quarters as a mid cycle pause, not the end of the cycle. With tariffs and other global macro uncertainties still on the table, the whole group could get a second look from investors. In particular we like Home Depot, Sherwin Williams, Tractor Supply, and Lowe's given their pricing power, tariff protection, and outlook for a stronger second half of 2019.

Figure 5: Leading the Lead Indicator Suggests that Home Improvement Demand Can Pick up 200bps in 2H19



Source: Census Bureau, NAR, Federal Home Loan Mortgage Corporation, Case-Shiller, Federal Housing Finance Agency, University of Michigan, Evercore ISI Research

Figure 6: Home Improvement Spending Per Occupied Unit (figure 5) is Just 5% Above the Almost 50 Year Average



Source: NAR, Census Bureau, Evercore ISI Research

Question #4: How much can Staple-esque stocks get rerated?

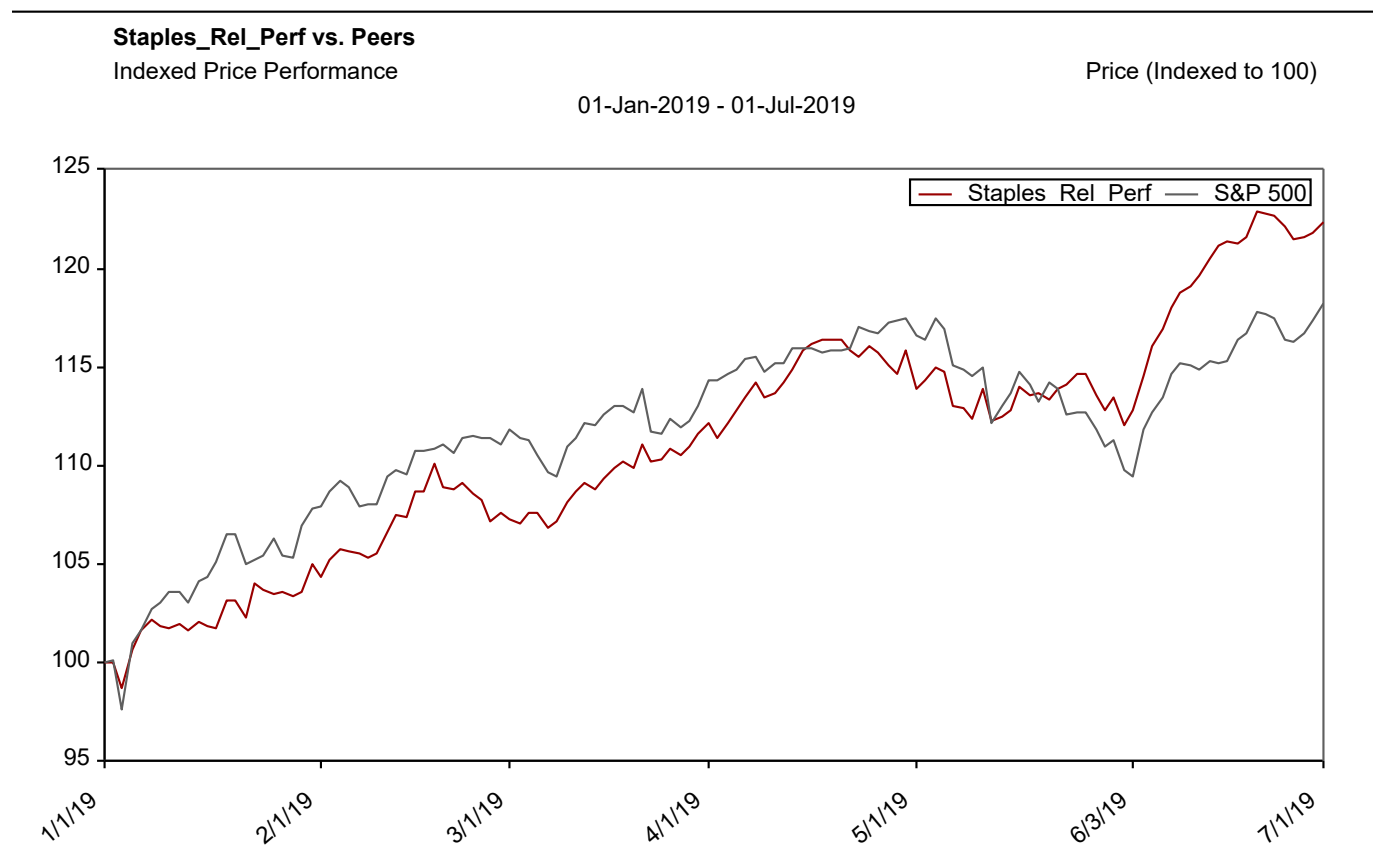
Leading Consumer Staples stocks like WMT/ PG/ COST & EL have been re-rated relative to the S&P 500, with the graph below showing a widening outperformance gap in favor of consumer staples. In an aging cycle it makes sense that defensives hold the promise of relatively low volatility and modest growth over cycles. Walmart has certainly benefited from this trend, opening up a 35% premium to the S&P 500 on NTM P/E (Figure 9), a level it hasn't seen since the great recession of 2008/09. To keep it simple, that's 6 P/E multiple points of expansion in two years for Walmart vs a 3 P/E point expansion for the Consumer Staples index more broadly (Figure 10).

The Walmart rerating could be more than just a move into defensives. Nick Johnson of Applco described the evolving aspect of "platform companies" during an investor call with our strategy guru Dennis DeBusschere on 7/1/19 (see the full note [here](#).) Winner take all dynamics is a key positive for platform companies broadly, with Netflix/ Google/Apple and Alibaba in China as several high profile examples.

Walmart has some platform-esque qualities that the market is recognizing. It has used its scale and logistics prowess to roll out Click and Collect to a majority of U.S. stores, while extending platform capabilities through the acquisition of Jet.com and Flipkart in India. eCommerce (including buy online pickup in store) is now 6% of U.S. sales. We believe it is one key reason that the multiple has gone up of late.

Home Depot is a dominant retailer with platform-esque qualities that has yet to get credit for their leadership. 8% of total sales are from digital, and a double digit percent of its DIY business. The HD BlackLocus team in Austin, TX is spearheading a robust tech infrastructure across the organization. The acquisition of this team may get less visibility than Walmart's \$3bn+ purchase of Jet.com, and yet the team is helping to transform HD's tech capabilities as well.

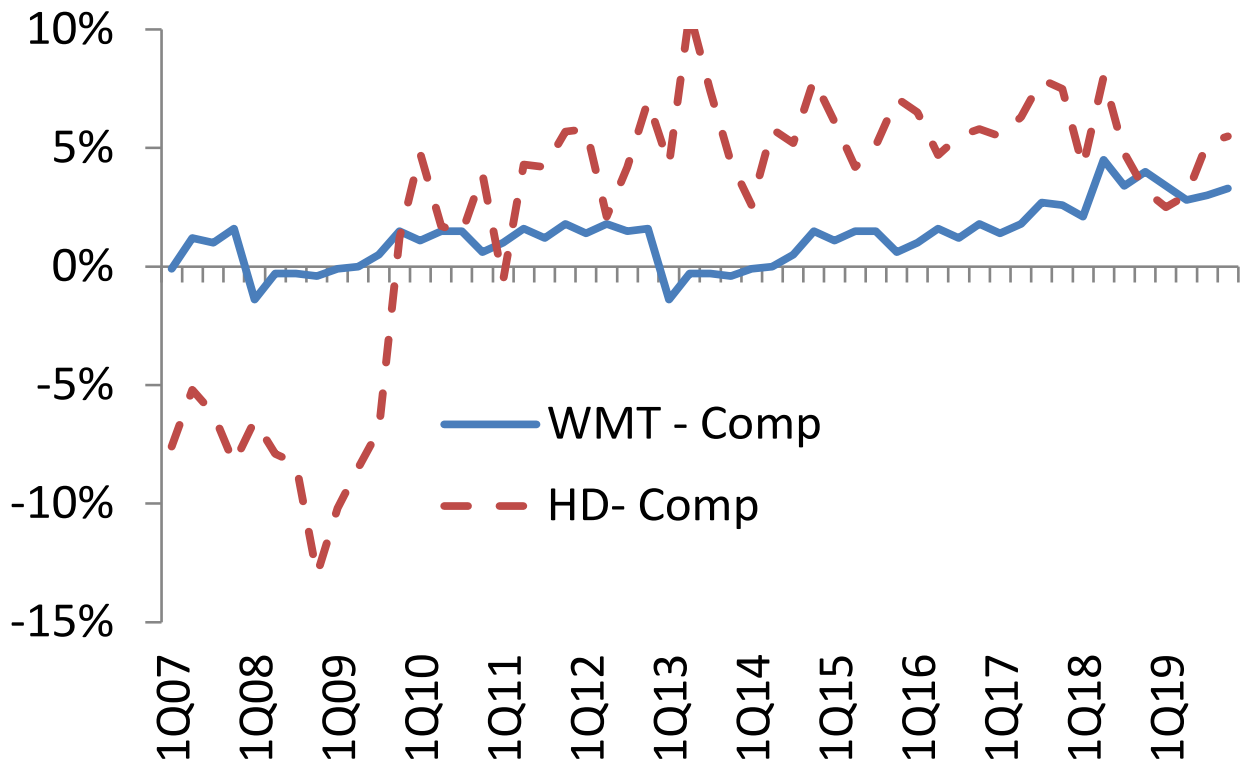
Figure 7: Consumer Staple Peers with a Platform Esque Bend (Equal Weighted Index of WMT/TGT/COST/HD/PG/EL) Outpace the S&P 500 YTD



Source: FactSet, Evercore ISI Research

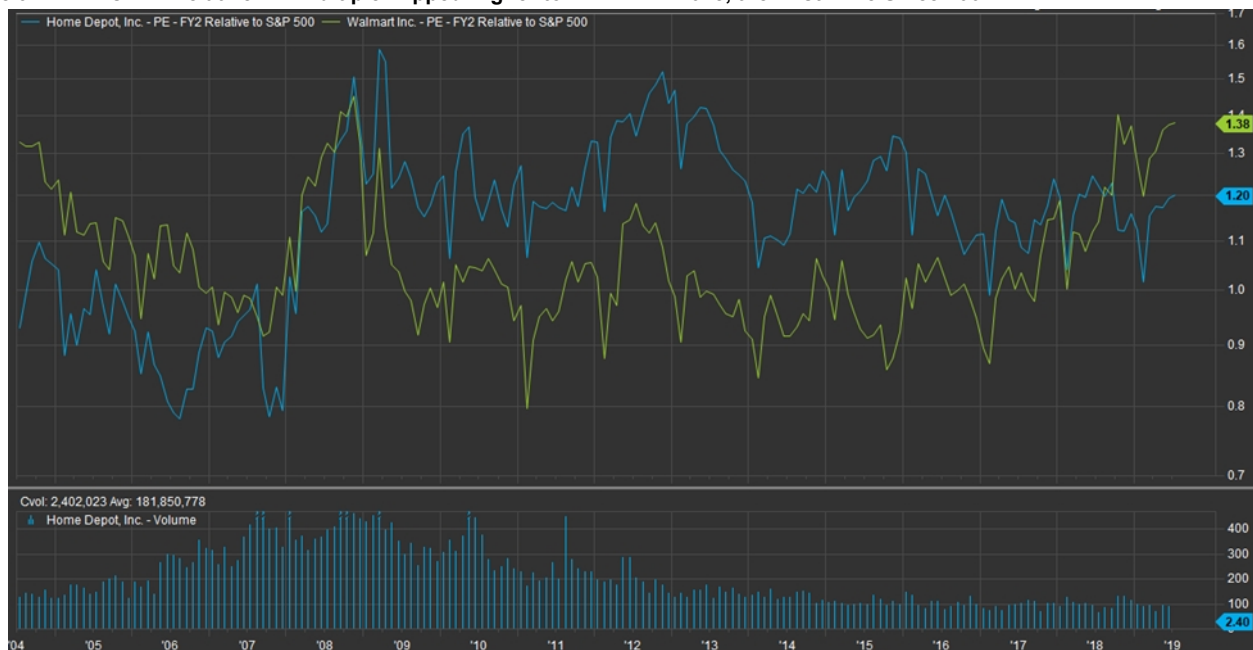
*The graph above includes WMT/TGT/COST/HD/PG/EL as consumer staple-esque stocks with Platform company elements

Figure 8: HD's Comps Slipped Below Walmart in 4Q18 for the First Time Since 2011. We Think They Revert Back by Late 2019



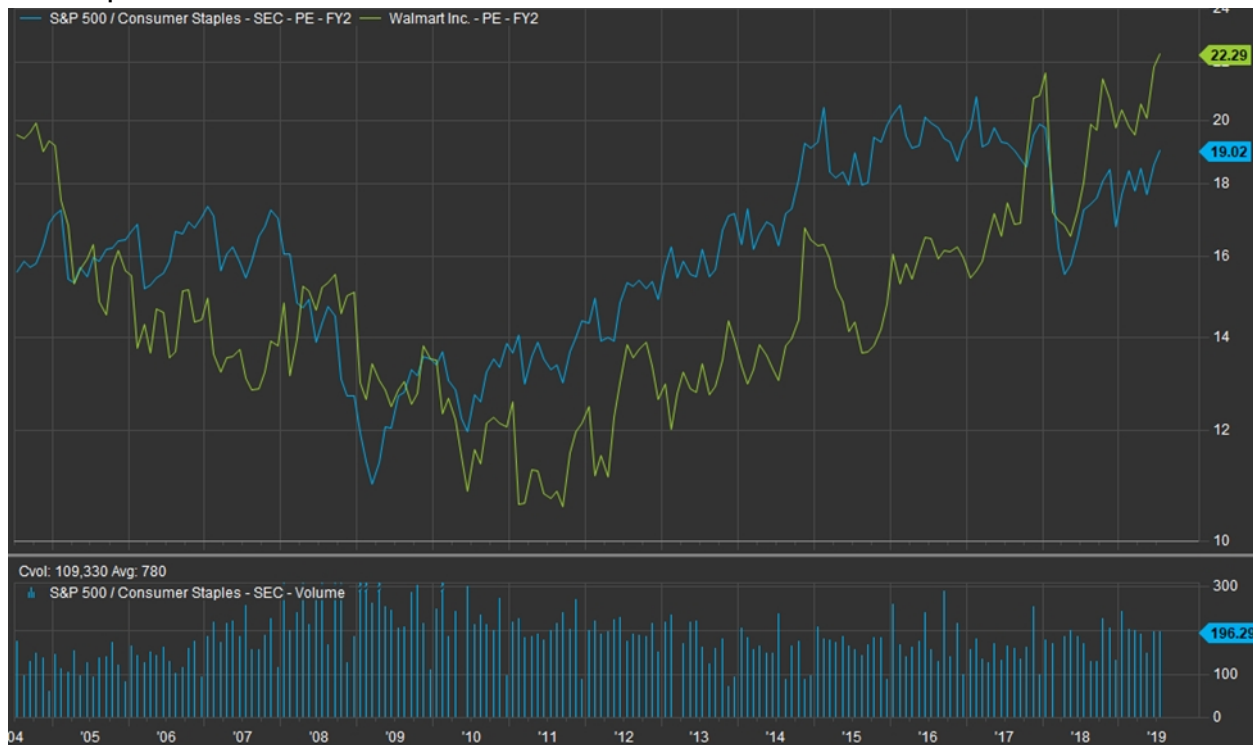
Source: Company Data, Evercore ISI

Figure 9: WMT vs. HD Relative P/E multiple Flipped Higher to WMT in 2H2018, the First Time Since 2007



Source: FactSet, Evercore ISI Research

Figure 10: WMT vs. Consumer Staples Index Absolute P/E: WMT P/E Multiple at 22.5x is up 6 Turns in Two Years vs. S&P Consumer Staples at 19x up 3 Turns



Source: FactSet, Evercore ISI Research

Figure 11: Platform Companies Have Taken Over... AMZN the Most Visible in Our Coverage, but Don't Forget WMT... or HD

HOW INDUSTRY LEADERS RESPONDED

2009
Walmart Marketplace

Walmart launches Walmart Marketplace

Wal-Mart to Acquire Jet.com for \$3.3 Billion in Cash, Stock

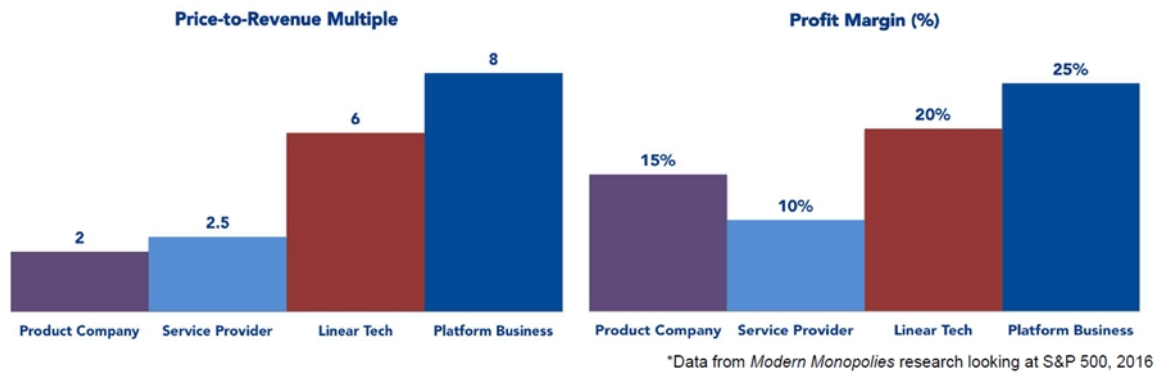
"Since the deal, Wal-Mart's U.S. e-commerce sales have soared, climbing 63% in its most recent quarter, and the stock has gained 10% over the last year."

2016
jet

What is the common thread?

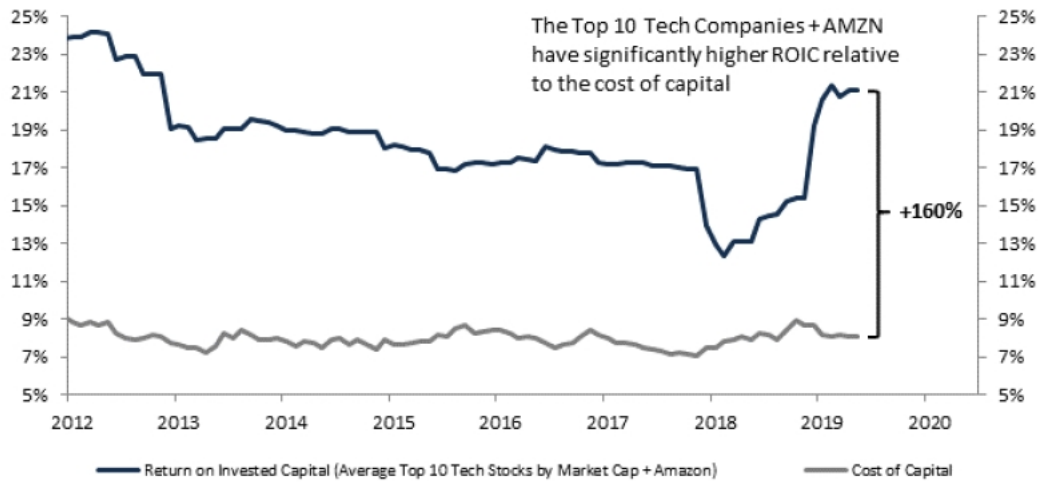
Source: Modern Monopolies, Nick Johnson & Applico Inc

Figure 12: Platform Companies Enjoy Higher Margins and Valuation**PLATFORMS: WHY THEY MATTER**



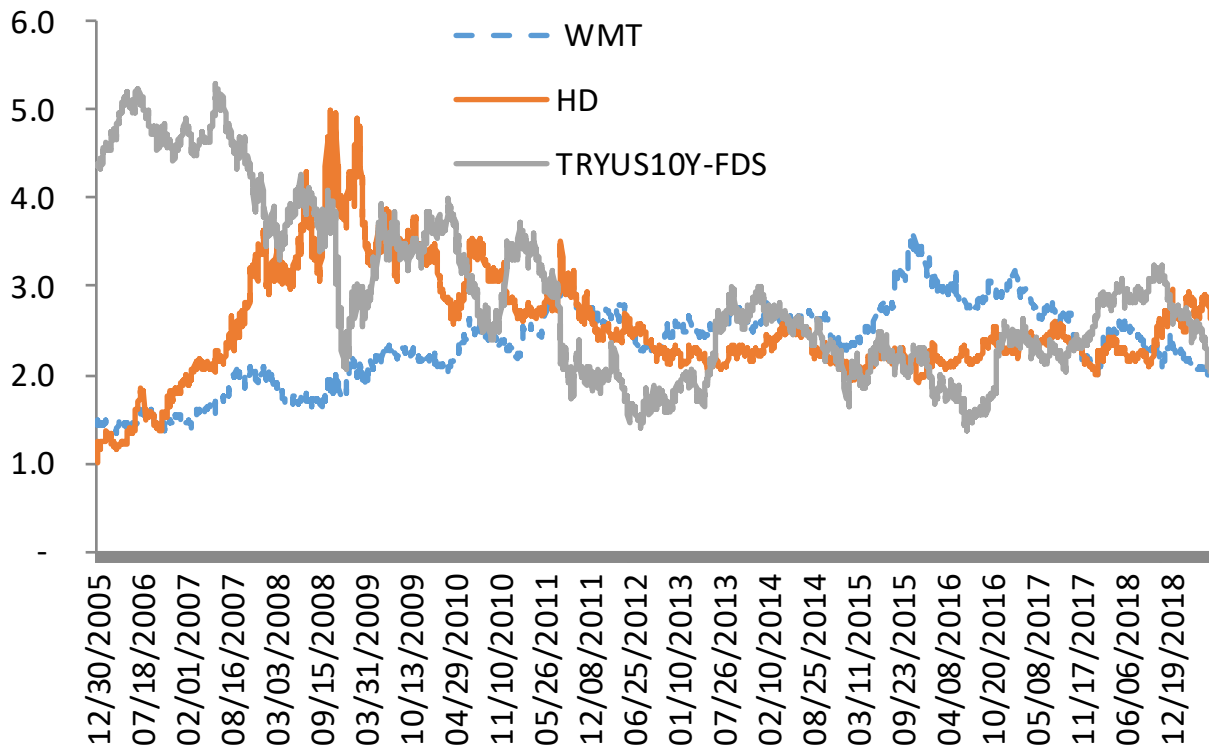
Source: *Modern Monopolies*, Nick Johnson & Applico Inc

Figure 13: Platform Tech Companies + AMZN Enjoy Higher ROIC vs Their Cost of Capital



Source: Modern Monopolies, Nick Johnson & Applico Inc

Figure 14: HD's Dividend Yield at 2.6% is Higher than Walmart's Yield, and 10 Year Treasury for First Time Since 2011



Source: FactSet, Evercore ISI Research

Question #5: Will active management ever recover vs the move to passive?

Active equity fund flows been negative 9 of the past ten years, while passive equity fund flows are consistently positive. Morningstar is projecting that at some point in 2019, U.S. equity fund passively managed with effectively match active funds at just over \$4tn each. While both pools of capital seem large enough to allow for an efficient market, one can't help but wonder if the trend is creating more alpha opportunities for those willing to break from looking at indexes. Retail has always had varied performance across stocks and subsectors, yet the race in Amazon to a \$1tn market cap or 20% drop in Kroger when defensives have been strong are anecdotes that active investors have real opportunity in the markets.

In that thought process, we went back and found an interesting report our colleague Glenn Schorr first wrote in April. "[The Most Self-Serving Research Note Ever](#)" examined the unintended consequences of MiFID II. The summary is that P&L payers underperformed in 2018 – the first full year of MiFID II regulation. While MiFID II did succeed in ensuring that asset managers get value for their commission dollars, there was potentially a big cost. The number of U.S. fund categories outperforming increased in 2018 with 13 of 15 U.S. funds outperforming. U.S. funds share of outperformance captured went from 48% in 2016 to 98% in 2018 relative to European MiFID II firms. U.S. winners outperformed by an average of 258bps vs. Europe at 36bps. We show a few key charts below to further drive home the point that the time for active management may increasingly be now.

Figure 15: AUM Weighted Sector Outperformance (Number of Sectors and Pct Captured)

Sector Summary	2016	2017	2018
US Outperforms #	10	9	13
%	71.4	64.3	86.7
Europe Outperforms #	4	5	2
%	28.6	35.7	13.3
% Outperformance Captured			
US	48.16	66.96	97.79
Europe	51.84	33.04	2.21

Source: Frost Consulting, Strategic Insight Simfunds, Evercore ISI Research

Figure 16: 2018 AUM Weighted Performance

Equity Category	# of Funds in 2018	2016 Outperformance (bps)	2017 Outperformance (bps)	2018 Outperformance (bps)
ESG	95	---	---	771
Healthcare	363	(363)	271	389
US MC	237	(532)	363	338
Global S/Mid	20	250	186	236
Asia	142	(284)	269	215
Global All	163	158	(209)	202
US LC	715	207	227	194
US SC	319	156	(211)	191
EM	132	28	(41)	152
US All	1271	241	144	138
US LC Growth	266	104	254	137
Tech	36	193	63	131
Europe	13	(657)	(463)	48
Japan	591	197	290	(19)
Global LC	142	172	(96)	(52)

Note: Europe Funds Outperforming in Shaded Boxes

Source: Frost Consulting, Strategic Insight Simfunds, Evercore ISI Research

TIMESTAMP

(Article 3(1)e and Article 7 of MAR)

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Outperform- the total forecasted return is expected to be greater than the expected total return of the analyst's coverage universe

In Line- the total forecasted return is expected to be in line with the expected total return of the analyst's universe

Underperform- the total forecasted return is expected to be less than the expected total return of the analyst's universe

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Rating Suspended- Evercore ISI has suspended the rating and target price for this stock because there is not sufficient fundamental basis for determining, or there are legal, regulatory or policy constraints around publishing, a rating or target price. The previous rating and target price, if any, are no longer in effect for this company and should not be relied upon.*

*Prior to October 10, 2015, the "Coverage Suspended" and "Rating Suspended" categories were included in the category "Suspended."

FINRA requires that members who use a ratings system with terms other than "Buy," "Hold/Neutral" and "Sell" to equate their own ratings to these categories. For this purpose, and in the Evercore ISI ratings distribution below, our Outperform, In Line, and Underperform ratings can be equated to Buy, Hold and Sell, respectively.

Historical Ratings Definitions

Prior to March 2, 2017, Evercore ISI's recommendations were based on a stock's total forecasted return over the next 12 months:

Buy- the total forecasted return is expected to be greater than 10%

Hold- the total forecasted return is expected to be greater than or equal to 0% and less than or equal to 10%

Sell -the total forecasted return is expected to be less than 0%

On October 31, 2014, Evercore Partners acquired International Strategy & Investment Group LLC ("ISI Group") and ISI UK (the "Acquisition") and transferred Evercore Group's research, sales and trading businesses to ISI Group. On December 31, 2015, the combined research, sales and trading businesses were transferred back to Evercore Group in an internal reorganization. Since the Acquisition, the combined research, sales and trading businesses have operated under the global marketing brand name Evercore ISI.

ISI Group and ISI UK:

Prior to October 10, 2014, the ratings system of ISI Group LLC and ISI UK which was based on a 12-month risk adjusted total return:

Strong Buy- Return > 20%

Buy- Return 10% to 20%

Neutral - Return 0% to 10%

Cautious- Return -10% to 0%

Sell- Return< -10%

For disclosure purposes, ISI Group and ISI UK ratings were viewed as follows: Strong Buy and Buy equate to Buy, Neutral equates to Hold, and Cautious and Sell equate to Sell.

Evercore Group:

Prior to October 10, 2014, the rating system of Evercore Group was based on a stock's expected total return relative to the analyst's coverage universe over the following 12 months. Stocks under coverage were divided into three categories:

Overweight- the stock is expected to outperform the average total return of the analyst's coverage universe over the next 12 months.

Equal-Weight- the stock is expected to perform in line with the average total return of the analyst's coverage universe over the next 12 months.

Underweight -the stock is expected to underperform the average total return of the analyst's coverage universe over the next 12 months.

Suspended- the company rating, target price and earnings estimates have been temporarily suspended.

For disclosure purposes, Evercore Group's prior "Overweight," "Equal-Weight" and "Underweight" ratings were viewed as "Buy," "Hold" and "Sell," respectively.

Ratings Definitions for Portfolio-Based Coverage

Evercore ISI utilizes an alternate rating system for companies covered by analysts who use a model portfolio-based approach to determine a company's investment recommendation. Covered companies are included or not included as holdings in the analyst's Model Portfolio, and have the following ratings:

Long- the stock is a positive holding in the model portfolio; the total forecasted return is expected to be greater than 0%.

Short- the stock is a negative holding in the model portfolio; the total forecasted return is expected to be less than 0%.

No Position- the stock is not included in the model portfolio.

Coverage Suspended- the rating and target price have been removed pursuant to Evercore ISI policy when Evercore is acting in an advisory capacity in a merger or strategic transaction involving this company, and in certain other circumstances; a stock in the model portfolio is removed.

Rating Suspended - Evercore ISI has suspended the rating and/or target price for this stock because there is not sufficient fundamental basis for determining, or there are legal, regulatory or policy constraints around publishing, a rating or target price. The previous rating and target price, if any, are no longer in effect for this company and should not be relied upon; a stock in the model portfolio is removed.

Stocks included in the model portfolio will be weighted from 0 to 100% for Long and 0 to -100% for Short. A stock's weight in the portfolio reflects the analyst's degree of conviction in the stock's rating relative to other stocks in the portfolio. The model portfolio may also include a cash component. At any given time the aggregate weight of the stocks included in the portfolio and the cash component must equal 100%.

Stocks assigned ratings under the alternative model portfolio-based coverage system cannot also be rated by Evercore ISI's Current Ratings definitions of Outperform, In Line and Underperform.

FINRA requires that members who use a ratings system with terms other than "Buy," "Hold/Neutral" and "Sell," to equate their own ratings to these categories. For this purpose, and in the Evercore ISI ratings distribution below, our Long, No Position and Short ratings can be equated to Buy, Hold and Sell respectively.

Evercore ISI rating (as of 07/09/2019)

Coverage Universe			Investment Banking Services Past 12 Months		
Ratings	Count	Pct.	Ratings	Count	Pct.
Buy	399	51	Buy	269	67
Hold	319	41	Hold	168	53
Sell	38	5	Sell	16	42
Coverage Suspended	20	3	Coverage Suspended	15	75
Rating Suspended	8	1	Rating Suspended	2	25

Issuer-Specific Disclosures (as of July 09, 2019)

Price Charts

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